

Understanding Income

A presentation on types, sources, and importance of income

What is Income?

- ◆ Income refers to the money that an individual or business receives in exchange for providing goods, services, or through investing capital.
- ◆ It is a key indicator of financial well-being.

Types of Income

- ◆ 1. Earned Income – Wages, salaries, commissions
- ◆ 2. Passive Income – Rent, royalties
- ◆ 3. Portfolio Income – Interest, dividends, capital gains

Sources of Income

- ◆ • Employment
- ◆ • Business or self-employment
- ◆ • Investments
- ◆ • Property ownership
- ◆ • Government benefits

Importance of Income

- ◆ • Supports basic needs like food, shelter, and healthcare
- ◆ • Enables savings and investments
- ◆ • Determines lifestyle and financial security

Factors Affecting Income

- ◆ • Education and skills
- ◆ • Experience
- ◆ • Economic conditions
- ◆ • Occupation and industry
- ◆ • Location

Income Distribution

- ◆ Income distribution refers to how income is shared across individuals or groups in an economy.
- ◆ Unequal distribution can lead to social and economic issues.

Managing Income

- ◆ • Budgeting
- ◆ • Saving and investing
- ◆ • Avoiding debt
- ◆ • Financial planning

Income and Taxes

- ◆ • Income is subject to taxation based on laws
- ◆ • Tax rates vary by income level and type
- ◆ • Understanding taxes is essential for financial management

Conclusion

- ◆ Income is a fundamental part of financial life.
- ◆ Understanding its sources, management, and importance helps in achieving financial stability and growth.